C31FF

Investment Appriasal

The Appraisal Company

The Appraisal Company are deciding whether to invest in a project. They have two mutually exclusive alternatives and require help to calculate the best option. Using the following information calculate the Net Present Value (NPV) and IRR for each project. Recommend the best project and justify your decision.

	A	**B**
Investment required	150,000	60,000
Working capital	10,000	5,000
Cash inflows	60,000	50,000
Cash savings	6,500	3,000
Running costs	20,000	25,000
Project duration	5 years	3 years

Working capital will be returned at the end of the project.
The machine in Project A will have a disposal value of £5,000 at the end of the project.

Cost of capital is 10%

Requirement:

Calculate the NPV of both projects

Calculate the IRR of both projects